Intuitive Surgical (ISRG)

Razor-and-Blades Compounder

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*Razor-and-Blades Compounder. 85% recurring revenue; installed base grows 12% a year; surgeon training and switching costs form a wide moat [Q2'26 ER]. De-rated Multiple. Forward P/E of 33x against a 5-year average of 52.5x, the cheapest in seven years [Press Sep-26]. Priced for Perfection Anyway. Our DCF base of $290 implies 32% downside and the reverse DCF calls the price euphoric, so new money is paying full freight [DCF 17-Oct-26]. Our framework screens it as a **Hold** with a $288.51 blended target, 32% below the current price.*

HOLD	$288.51	-32%	$426.70
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

De-rated Multiple. Forward P/E of 33x against a 5-year average of 52.5x, the cheapest in seven years [Press Sep-26].

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$2.89B	+16%	468	11,710 systems	33.6%	$2.80
REVENUE (Q2 2026)	WORLDWIDE PROCEDURES	DA VINCI PLACEMENTS	INSTALLED BASE	OP MARGIN (Q2 2026)	NON-GAAP EPS (Q2 2026)

The moat is structural

Worldwide procedures up 16% with an installed base of 11,710 da Vinci systems compounding at 12% a year

Three scenarios make the valuation range explicit

The DCF values Intuitive Surgical across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$196.86**	-54%
Base	50%	**$288.21**	-32%
Bull	25%	**$380.75**	-11%

Bear ($196.86, -54%): Growth disappoints and multiples compress; the $196.86 target marks the downside case.

Bull ($380.75, -11%): Execution compounds and the multiple rerates; the $380.75 target marks the upside case.

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The probability-blended target implies -32% upside

Blended target: $288.51 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -32% upside from the $426.70 reference price.

$288.51

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 35.2x [Val 17-Oct-26] EV/Revenue (TTM) 14.5x [Val 17-Oct-26] PEG 1.99x [Val 17-Oct-26] DCF Base $290.13 [DCF 17-Oct-26] Premium on absolute metrics; DCF implies 32% downside. Quality is real, but so is the price.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $288.51 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Worldwide procedures up 16% with an installed base of 11,710 da Vinci systems compounding at 12% a year [Q2'26 ER]

da Vinci 5 upgrade cycle: 246 dv5 placements in Q2, adopted by 15,000+ surgeons [Q2'26 ER]

Ion lung biopsy platform: procedures up 36%, a second high-growth engine [Q2'26 ER]

What to monitor

20-Oct-2026. Q3 2026 Earnings (Two-Sided): EPS est $2.64, revenue est $2.91B. Management promised detail on the Extended Use Program.

2027. Extended Use Program (Two-Sided): lowers hospital cost per procedure, which should drive volume but mechanically lowers Intuitive's revenue per procedure. Sizing undisclosed.

Ongoing. SP Indication Expansion (Positive): CE mark for transvaginal gynecology in Sep 2026; SP procedures grew 61% in Q2. Widens utilization without new hospital capex.

$2.89B	+16%	468	11,710 systems
REVENUE (Q2 2026)	WORLDWIDE PROCEDURES	DA VINCI PLACEMENTS	INSTALLED BASE

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$10.1B	$6.6B	N/A

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2024	$8.4B	$5.6B	N/A
2023	$7.1B	$4.7B	N/A
2022	$6.2B	$4.2B	N/A

INTUITIVE SURGICAL, INC. | RISKS & INVESTMENT VIEW

HOLD

Key risks

US Procedure Slowdown. US da Vinci procedure growth cooled to 12% on insurance coverage and premium changes, plus GLP-1 pressure on bariatric volumes. [Q2'26 ER]

Valuation. Premium multiple; our DCF base of $290 implies 32% downside and the reverse DCF calls the current price euphoric. [DCF 17-Oct-26]

Competition. Medtronic Hugo and J&J are pushing into robotic surgery; China remains challenged by competitive and pricing dynamics. [Press Oct-26]

Investment view

Q3 procedure growth above the guided 13.5-15.5% range, or Extended Use detail that expands volume without denting revenue per procedure, would lift Growth and Catalysts. A further US slowdown or a cut to the procedure-growth guide would cut Trend, and the valuation pillar depends on the multiple holding its seven-year low.

Hold. The $288.51 blended target implies -32% upside, balancing the $196.86 / $288.21 / $380.75 Bear / Base / Bull targets.

INTUITIVE SURGICAL, INC. | KEY DRIVERS

HOLD

da Vinci 5 upgrade cycle: 246 dv5 placements in Q2, adopted by 15,000+ surgeons [Q2'26 ER]

Ion lung biopsy platform: procedures up 36%, a second high-growth engine [Q2'26 ER]

Upcoming catalysts

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